Independent Study Project

INSEAD Master in Management

The Strategic Value of Heritage, Authenticity, and Cultural Relevance

How Fender and Steinway Sell Meaning the Market Can't Copy

In two parts · I. Fender · II. Steinway

This project examines Fender and Steinway as strategic heritage brands: companies whose value rests not on the product alone, but on cultural memory, craftsmanship, artist identity, and meaning that a copy or a simulation cannot reproduce. At its core lies one question:

What makes heritage a source of value and how far can a brand extend it before the value thins?

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PART ONE

Fender

The Business of Cultural Meaning

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1 Fender in Business and Culture

IN 2017 the *Washington Post* ran a feature on "the slow death of the electric guitar"—sliding sales, greying buyers, fewer young heroes to carry it.[1] A year later Gibson, Fender's archetypal rival, filed for bankruptcy. The instrument looked like a relic of a pre-digital century. Then came 2020: locked indoors with screens that can build an entire song from scratch, people bought physical guitars in record numbers, and Fender posted the biggest sales year in its history.[2] An object you can now avoid completely sold better than it ever had. That reversal is worth explaining.

Fender made the two guitars that became the template for the instrument itself. The Telecaster (1950–51) and the Stratocaster (1954) are the shape a child draws when you ask them to draw an electric guitar. The second is that those shapes carry music history as cargo: a Stratocaster points straight to Hendrix, Clapton, Gilmour and Stevie Ray Vaughan; a Telecaster to country, punk and indie.

A Fender is made of wood, wire and metal—materials that every factory can buy. The outline is just as easy to copy: for seventy years competitors reproduced the Stratocaster shape so widely that a US court once called it "generic." And still, that outline with the Fender name on it meant something a copy never could. The value was never the geometry but the history attached to it. Which is what makes the recent turn striking: in 2026 Fender began fighting the copies it had tolerated for decades.[3]

[1] Geoff Edgers, "Why My Guitar Gently Weeps," *The Washington Post*, June 2017.

[2] Fender reported 2020 as the largest sales year in its history; see *The New York Times*, September 2020.

[3] Fender's US bids to *trademark* the Stratocaster and Telecaster shapes failed. Its 2025–26 push rests on *copyright* instead: a December 2025 Düsseldorf ruling (a default judgment, legally untested) that prompted cease-and-desist letters and a countersuit from retailer Thomann.

Fender is in the access business. Owning one lets a buyer step inside a story they already love, without auditioning for a place in it. A Steinway in a concert hall signals arrival; a Fender in a bedroom signals a start. Its heritage is participatory—people buy the instrument to enter the history rather than admire it from the stands. When Fender opened its learning app to a housebound public in 2020, subscriptions jumped from 150,000 to 930,000 in three months, and the share of women among newcomers climbed from 30% to 45%: a wave of people paying to get inside.[4]

This is also why losing its usefulness made the guitar worth more. Once you no longer need an instrument to make music, picking one up becomes a statement—about taste, patience, and the tradition you want to claim. Fender sells that statement, and that is what keeps it relevant while the tools around it keep changing.

2 Tone Chasing: The Marketing System Fender Does Not Fully Control

GUITARISTS chase tone. They try to reproduce the exact sound of a hero, and that pursuit organises an entire economy: guitars, amplifiers, pedals, pickups, precise dial settings, tutorials, YouTube channels, and the artist myths underneath all of it.

The strategically interesting part is who does the selling—and it is mostly not Fender. Plenty of tone chasing points elsewhere, at a Gibson pushed through a cranked Marshall. But across a whole family of sounds—Hendrix's fuzz, Vaughan's blues, Mayer's

[4]Fender Play subscriptions rose from roughly 150,000 to 930,000 between March and June 2020 (Fender, via *The New York Times*, 2020).

clean funk, Gilmour's delay—the answer is a Fender, and Fender barely has to say so. It seeds the myth directly, through signature models, artist deals and its own sessions, yet it pays for almost none of the voices that repeat it. Independent retailers, creators and enthusiasts keep explaining, unprompted, why a Fender is the right tool. The brand's history works as a decentralised sales force it largely neither pays nor directs—arguably the most effective in the industry.

There is a catch hidden in that strength. A sales force you do not pay is also one you cannot redirect: every lesson in sounding like Hendrix assumes the Stratocaster has not changed, so the ecosystem quietly rewards Fender for standing still.

The clearest illustration is not made by Fender. The UK retailer Andertons runs a long-running video format, "Sound Like . . . ," split into "Without Busting the Bank" and "By Busting the Bank," in which two presenters rebuild a famous player's sound twice—once cheaply, once at any cost.[5] The video converts admiration into a shopping list. It puts an iconic identity on a price ladder, so a viewer can buy a usable approximation of someone they will never be.

That independence is the source of its credibility—and the reason it cannot be fully owned. The recommendation lands precisely because it does not look like an advertisement. It is worth marking the seam, though: these creators are usually retailers with commercial incentives of their own, sometimes including stakes in rival brands. "Independent" is relative.

Two questions follow, and the honest answer to both is "probably, but not by design." Can artist mythology become commercially self-reproducing, generating demand without a campaign? And is tone chasing really about sound at all, or about temporarily becoming someone else? A heritage brand that tried to seize control of this system would most likely break the very thing that makes it persuasive.

3 Customer Types: Five Versions of the Guitarist

THE same Stratocaster outline sells for a couple of hundred dollars as a starter Squier and climbs into five figures for a vintage original.[6] The shape barely changes; what the buyer wants it to mean changes completely. Five of those meanings recur, and one guitar can carry all of them at the moment of purchase.

The Purist

[5] Andertons Music Co., "Sound Like" series ("Without Busting the Bank" / "By Busting the Bank"), ongoing.

[6] Entry-level Squier Stratocasters retail around $200, while original 1950s–60s Stratocasters routinely reach five figures on the vintage market (2026 pricing).

buys continuity. They want vintage tones, classic shapes and the sense of an unbroken line back to an earlier era. Visible modernisation reads as dilution.

- **The Aspirational Beginner**

  buys a possible future self. The entry-level instrument, the artist story and the learning app all narrow the distance between admiring music and making it.

- **The Collector**

  buys memory and scarcity. A limited run, a signature model or a faithful reissue turns the guitar from a tool into a cultural asset that happens to be playable.

- **The Bedroom Creator**

  buys physical credibility inside a digital workflow. Surrounded by software, they want one object that proves a human was in the room.

- **The Hybrid Artist**

  refuses to choose. They use digital production freely but keep a real instrument as the anchor of human expression—and may be the most commercially important type, because they validate both halves of Fender's catalogue at once.

Connect this back to tone chasing to get a sharper claim. These customers are not merely after different products; they want different *relationships with musical history*—continuity, entry, possession, proof, refusal. That is why Fender cannot settle on a single meaning for the Stratocaster. Sharpen it for the purist and it dulls for the hybrid; modernise it for the hybrid and it betrays the purist. The fragmentation is the structural reason the next section exists.

4 The Fender Pendulum

READ Fender's launches in order and they look like a swing. Player modernised the workhorse in 2018; Vintera chased period-correct vintage in 2019; American Ultra pushed maximum modernity months later; American Vintage II rebuilt specific years down to the lacquer in 2022; Ultra II reclaimed "the pinnacle of modern guitar innovation" in 2024. Modern, vintage, modern, vintage—a tidy pendulum.[7]

[7] Launch dates per FMIC press releases: Player (2018), Vintera (2019), American Ultra (2019), American Vintage II (October 2022), Vintera II (September 2023), American Ultra II (October 2024).

The tidiness is the illusion. Each line kept selling alongside the others, and still does. The truer shape is two ladders climbing at once: a vintage ladder (Vintera in 2019, Vintera II in 2023) and a modern ladder (Ultra in 2019, Ultra II in 2024), with the Player family running up the middle (2018, Player Plus in 2021, Player II in 2024)—each rebuilt on a roughly four-year cycle, at every price from Mexican-made to Custom Shop. Fender keeps both the past and the future fully stocked.

What proves the design is that both ladders grow together. Launching the vintage-focused Vintera II in 2023, Fender reported that sales of the classic Strat and Tele shapes had risen 15% over three years—the same years it was selling the hyper-modern Ultra.[8] Nostalgia and novelty rose together.

Now watch *how* the distance between them gets built, because the design shows there. The Ultra II hides its modernity: an extra switch sits concealed inside the volume knob, and Fender's own copy promises pickups with "definitive Strat sparkle … without hum"—progress dressed as heritage.[9] The Vintage II works the opposite way, manufacturing age through slow-curing nitrocellulose finishes and period-correct logos that make a new instrument feel decades old. The Custom Shop sells the same idea openly, as a menu: "Time Capsule" for factory-fresh, "Journeyman" for lightly played, and a fully worn "Relic." One company offers a guitar that looks built yesterday and one that looks rescued from 1960, priced and labelled side by side.

So the timetable and the parallel ladders are deliberate; that much the evidence supports. Several forces sustain the arrangement, and they reinforce one another.

Customer psychology. Players want better comfort and reliability, yet they punish visible change. The answer is improvement that hides itself—the concealed switch, the noiseless pickups built to sound vintage.

[8]Fender Musical Instruments Corporation, "Fender … All-New Vintera II Series," press release, 19 September 2023.

[9]American Ultra II Stratocaster product description, fender.com.

Curated, not preserved. Choosing the Vintage II years meant drawing on a "huge cauldron" of input from master builders, collectors and former staff.[10] The authentic past is assembled by committee; vintage is a design decision.

Portfolio architecture. Stocking the faithful, the modern, the affordable and the collectible at once lets each justify the others. The modern line proves Fender is still alive; the vintage line renews its authority to define what "authentic" means.

Cultural rhythm. Some of it is fashion's own swing between novelty and nostalgia, which Fender rides and amplifies.

One uncertainty remains. The machinery is clearly planned—two ladders, a fixed cycle, deliberate aging and concealment. What stays open is the *meaning*: whether anyone at Fender set out to "commercialise the conflict" between old and new, or whether that reading is a story laid over a sensibly diversified catalogue. The products are intentional; the grand narrative may be ours. Either way, Fender's move is the same: it keeps redrawing—and pricing—the distance between the past and the future.

5 Blue Ocean Strategy: New Guitarists or Just New Advertising?

When Fender launched the American Ultra II in October 2024, it framed the guitar around versatility across genres and introduced ambassadors beyond its classic rock-and-blues lineage—among them Isaiah Sharkey, a guitarist associated with R&B and neo-soul, who performed a soul number at the preview event.[11] The implied message: this Fender belongs in spaces where Fender is not automatically pictured.

Blue Ocean Strategy asks whether a company creates new demand by reaching *non-customers*—people who are not in the market at all—or merely competes harder for existing customers with fresher imagery. Applied honestly, the Ultra II campaign mostly fails the test. The product is the same modernised professional instrument. Sharkey is an accomplished working guitarist, not a noncustomer who had been kept out of the category. Featuring an R&B player reaches a fresh audience and bids for relevance across genres, but it moves a buyer between styles and brands. It reaches new listeners without making a single new player.

[10] Justin Norvell (FMIC), on selecting the American Vintage II reissue years.
[11] American Ultra II preview, New York, October 2024; ambassadors included bassist Annie Clements and guitarist Isaiah Sharkey.

That distinction matters, because Fender's more credible attempt at category expansion lies elsewhere: in lowering the barrier that stops beginners before they start. Fender's own research puts first-year abandonment near 90%, and its learning platform targets exactly those people—the ones who admire the guitar but quit in the painful first weeks.[12] The pull is real: when Fender opened that platform to a housebound public in 2020, subscriptions jumped from 150,000 to 930,000 in three months. Convert even a fraction of those into players and you have manufactured a customer who did not exist. That is the genuine new market, and it is the one part of Fender's recent strategy that clears the Blue Ocean bar. A neo-soul artist in a campaign refreshes a brand; only one of these is Blue Ocean, and it is not the advertisement.

[12]Fender CEO Andy Mooney has cited a roughly 90% first-year abandonment rate among new players (interviews, 2018–2020).

Then the harder question: did anyone at Fender think in these terms at all? The language around the Ultra II—a "company of change," a guitar for artists who move constantly between genres—sounds like product intuition and artist taste, not a non-customer analysis. This is the recurring trap of strategy writing: it is easy to mistake emergent results and creative instinct for deliberate intent, and easier still to narrate a coherent plan after the fact. Expanding a market and refreshing a brand can look identical in a campaign. Only the product—and who actually picks up a guitar because of it—tells them apart.

6 The Guitarist Is the Product

BY Fender's own account, roughly nine in ten people who pick up a guitar abandon it within a year. Four chapters have read Fender as a maker of instruments; this figure reveals a different business underneath. The instrument is the entry point. The player who stays—across years, amps, pedals and a second guitar—is the asset. Heritage gets people through the door; keeping them inside is where the value lives. The authority traced earlier, to define what counts as a real Fender, matters because it is what makes the door worth opening.

Fender has started building the rooms beyond that door. Fender Play teaches the nervous beginner; the guitar turns curiosity into commitment; and Fender Studio Pro—the recording software Fender bought as PreSonus in 2021 and folded into its own brand by 2026, fifty-seven Fender amplifiers built in—lets the survivor record and release without leaving home.[13] Learn, play, record: one journey, increasingly under one roof, and every step raises the cost of walking back out.

That forces three choices, and a strategy is defined by what each one commits to.

Where to compete. Fender's strength sits at two extremes. One end is the player factory: Squier and Fender Play, priced near cost, built to manufacture customers. The other is immortality: the Custom Shop and vintage instruments, the only guitars that also appreciate, sold to players who have already arrived. The crowded middle, where a mid-priced guitar competes on specification alone, is the one place Fender's name adds little. The discipline is to feed the two ends only Fender can own.

How it must feel. The ecosystem works only while it feels like a way into music. Fender's brand equity rests on the instrument reading as a doorway; the moment on-

[13] Fender acquired PreSonus in 2021 and rebranded its Studio One DAW as Fender Studio Pro in 2026, with native Fender amp and effect models.

boarding feels like a sales funnel, the spell that sold the guitar breaks. The architecture has to stay invisible to the person walking through it.

What to protect. The competitor that matters is not Gibson. It is the plugin. Tone is migrating into software that offers the sound of a legendary amplifier and pedalboard for the price of a download, which puts pressure on the physical signal chain of guitar, amp and pedals that the tone chasing described earlier was built on. The guitar resists that pull most stubbornly; the amp least. So Fender's task is to keep selling the player digital tools that surround the rig, while protecting the part of the chain that players still insist on owning—the ones who want the real amp and the real pedal, not a faithful emulation of either.[14]

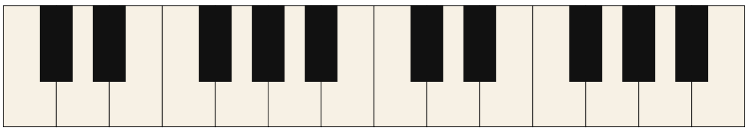
Notice who never appeared in those three choices: the rival makers Fender is now fighting in court. In 2026 it began legal action against companies copying the Stratocaster shape—an outline that, as the opening section showed, had been common property for seventy years. A copy of the shape was never a copy of Fender. What no rival can clone is the ecosystem around it: a beginner's progress inside Fender Play, the recordings living in Fender Studio Pro, and the loyalty that leads a Fender owner to reach for a Fender amp and a Fender-leaning pedalboard next. Any guitar plugs into any amp, so that pull is pure brand affinity—pieces a satisfied owner trusts to feel made for each other.

So Fender is fighting the wrong battle. Its heritage, its ecosystem and its pricing at the two ends all point one way—keeping the player—while its lawyers point another. A silhouette anyone can trace is the one thing litigation can defend; the fights worth winning—creating players who did not exist before, and making the world around the instrument too satisfying to leave—are won elsewhere. Defeating another maker wins a shape. Keeping a player wins a lifetime. Most instrument companies count units shipped; Fender's real scoreboard is the player still playing a year later.

[14] Fender is privately held and does not publish revenue by product category, so no precise current breakdown is available. The most-cited historical estimate, for 2012, put stringed instruments at roughly 60% of sales, amplifiers around 12% and accessories near 19% (reported, secondary sources). Amps and accessories remain a material, higher-margin, repeat-purchase layer.

PART TWO

Steinway



Selling Permanence, Scarcity, and the Acoustic Original in an Age of Perfect Copies

KEELIN MCLOUGHLIN

1 Steinway in Business and Culture

WHEN a heritage brand goes digital, the move usually reads as a confession. Swiss watchmakers who launched smartwatches discovered that customers heard the announcement as an admission: the craft, after a century of being enough, was no longer enough. The digital product did not expand the brand; it explained that the brand was worried.

Steinway & Sons did the opposite of nothing, and somehow avoided the confession. In 2015 it put a computer inside its grand pianos. A decade later that product line, Spirio, compounds at over 30% a year, and the brand is, if anything, more securely itself than before. That is the thing worth explaining: how does a 170-year-old craftsman build a digital product that makes the craft look more valuable rather than less?

Two facts frame the answer. The first is scarcity by design. Steinway builds roughly 1,500 grands a year, a rounding error against the global market, yet nine of the world's top ten concert pianists choose to play Steinways, voluntarily and at their own expense, and the BBC long ago settled on "the Rolls-Royce of pianos."[1] The second is patience. Founded in Manhattan in 1853, the company stayed under direct family ownership until 1995; Paulson & Co. took it private in 2013 and has held it since, withdrawing a planned 2022 listing rather than sell into a weak market.[2] Recent figures put 2021 net sales near $538 million, roughly three-quarters from pianos.[3]

So Steinway is not really in the piano business; it is in the permanence business. What a buyer purchases is not an instrument that plays well, since many do, but an object that will still mean something in fifty years. A used 1965 Model D now trades for more than thirteen times its original price.[4] That is the product: not sound, which competitors can approach, but durability of meaning, which they cannot. Everything that follows, from the portfolio to the artist roster to the computer in the piano, exists to protect that one promise.

2 The Heritage Balance Sheet

IT is tempting to treat heritage as a marketing layer over a generic product. At Steinway it is closer to the operating system: a balance sheet of assets that compound,

[1] Steinway & Sons, "Music and Artists," steinway.com; *Business Insider*, "Why Steinway Grand Pianos Are So Expensive," So Expensive series.

[2] Steinway Musical Instruments Holdings, Form S-1 (April 2022); *World Piano News*, "Steinway Plans to Go Public Again," 2024.

[3] Steinway Musical Instruments Holdings, Form S-1 (April 2022).

[4] *Business Insider*, "Why Steinway Grand Pianos Are So Expensive," So Expensive series.

each replicable alone but nearly impossible to reproduce together, because anyone attacking the brand has to rebuild several at once.

The first asset is manufacturing as moat. A Steinway grand has about 12,000 parts and takes roughly eleven months to build; the company holds 139 patents, several of which became industry standards.[5] But the defensible part is not the patents, which expire. It is the tacit knowledge that cannot be written down. About 85% of the instrument is wood, and Steinway rejects more than half the Alaskan Sitka spruce it sources for grain angled too far off vertical. Only two artisans in the New York factory are trusted to weigh off all 88 keys of a keyboard.[6] This is skill that lives in specific people and passes by apprenticeship, kept alive by 142 years of single-family ownership. Anything Steinway ships under its own name has to come from these hands, which is exactly why the cheaper lines do not.

The second asset is the artist roster, and its strangeness is the point. More than 1,800 Steinway Artists perform exclusively on Steinways, are not paid to do so, and each buys their own.[7] A competitor could pay artists more and still not reproduce the signal, because the entire value of the signal is that it is unpaid. Endorsement you can buy says the brand has money; endorsement you cannot buy says the brand is correct.

The third asset is institutional embedding. Roughly 230 All-Steinway Schools commit to using only Steinway and Steinway-designed pianos, and the brand is the default at Carnegie Hall, Lincoln Center, the Berlin Philharmonie and the White House.[8] This is a funnel measured in decades: a pianist who trains on Steinways from secondary

[5] *Playbill*, "What It Takes to Make a Steinway Grand Piano," 2024; *Business Insider*, "Why Steinway Grand Pianos Are So Expensive," 2023.

[6] *Business Insider*, "Why Steinway Grand Pianos Are So Expensive," remarks by Anthony Gilroy and Gwendolyn Folk, Steinway & Sons.

[7] Steinway & Sons, "Music and Artists," steinway.com.

[8] Steinway & Sons, "All-Steinway Schools," steinway.com/education.

school through a doctoral conservatory has spent fifteen or twenty years inside the brand before buying a first piano, and no later campaign can buy back that head start. The fourth asset is cultural: the "Steinway Immortals," the Selldorf-designed Steinway Hall, the accumulated sense that the brand belongs in the same world as the institutions that house it.

The portfolio is built to push this inheritance downward without spending it: heritage extends through controlled replication, while the apex stays in-house. The Steinway name itself is reserved for grands built in Astoria and Hamburg, and even there it is not monolithic, since the New York and Hamburg factories build deliberately different instruments under the same name.[9] Below the apex, Boston and Essex pianos are designed by Steinway but built under license by Kawai and Pearl River, and sold honestly as "Steinway-designed," never as Steinways.[10] The designs can be copied; the artisans cannot.

3 The Spirio Paradox: Digital That Deepens the Analog

RETURN to the opening problem. Most heritage brands that go digital damage themselves, and the damage is rarely commercial failure; it is success of the wrong kind: visibility in commoditized channels that quietly converts a craft signal into a mass signal. The question was not whether Steinway could build a good digital product, but whether it could build one that did not announce that the craft was no longer enough.

Spirio is the answer, and it works because every design choice keeps the digital in service of the analog. It is a high-resolution player piano (lasers capture and reproduce hammer velocity at up to 1,020 dynamic levels), but you would not know it to look at one.[11] There is no screen on the instrument, just a separate iPad, so a Spirio on a showroom floor is indistinguishable from an ordinary grand until someone tells you. The library of more than 340 hours plays back in high resolution only on a physical Spirio, so the content raises the value of the instrument instead of replacing it. And it is not generic content: it is exclusive performances by Steinway Artists, plus historical recordings of the Immortals (Rachmaninoff, Gould, Horowitz, Ellington) translated from old audio so the pianos play them today. The heritage is not marketed alongside the technology; it is delivered through it.

This passes what I would call the quiet-luxury test for digital: technology an owner notices and an outsider does not, that signals to the owner rather than to the room, and

[9] Chupp's Piano Service, "New York Steinway vs. Hamburg Steinway: A Tale of Two Factories," 2023.
[10] Riverton Piano Blog, "The Truth About Boston and Essex Pianos," 2023.
[11] Steinway & Sons, "Spirio | r," steinway.com/spirio/spirio-r.

that deepens the moat by giving Steinway owners something only they have. Spirio | r, which adds recording and a live broadcast feature called Spiriocast, extends the logic: every new capability thickens the wall around ownership rather than punching a hole in it, and Spiriocast is received only by other Spirio | r owners.

The clearest proof that this is strategy and not decoration arrived by accident. When COVID-19 closed conservatories, classical teaching faced a problem video could not solve: the masterclass, in which a teacher works through a student's interpretation at the keyboard, depends on exactly the touch, dynamics and pedaling that Zoom flattens. Two paired Spirio | r instruments connected through Spiriocast solved it directly: a teacher's playing reproduced in real time on a student's keyboard thousands of miles away. The Manhattan School of Music, Juilliard and MIT built this into formal Spirio Residency programs.[12] A feature that looked niche in 2019 became, almost overnight, the only credible way to teach high-resolution classical piano remotely, and Steinway happened to own it outright.

That last clause is where I want to be careful. Steinway did not build Spiriocast to survive a pandemic; it built a luxury feature, and the world handed it a use case. The capability was real; the market was luck, and holding those two apart is the job of the next section.

4 Blue Ocean Strategy: New Listeners or New Players?

BLUE Ocean Strategy asks a deceptively simple question: does a company create new demand by reaching people who are not in the market at all, or does it merely compete harder for the customers everyone already fights over? It is easy to pass rhetorically and hard to pass honestly, because expanding a market and defending one can look identical from the outside. Applied to Steinway, it sorts the company's moves cleanly.

Most of what Steinway does is red ocean, and the water is getting bloodier. US acoustic piano sales held near 31,000 units a year through the 2010s and fell to roughly 17,300 in 2024, down more than 40% from the decade's average, while digital pianos passed 60% of the global market.[13] Building a better acoustic grand, raising prices about 4% a year, adding an exotic-wood finish: these are excellent moves inside a shrinking pool. They defend share and margin beautifully, but they do not make a single new player

[12] Steinway & Sons, "Spirio Residency Program," Manhattan School of Music and The Juilliard School, steinway.com/education.

[13] Northwest Pianos, "Why Piano Sales Are Dropping and What It Means for the Next Generation," 2025; Statista, "Piano retail sales value US 2021."

or reach a single non-customer. By the strict definition, none of it is Blue Ocean, and pretending otherwise is the trap the framework exists to catch.

The Spirio remote-teaching case is different, and it is the one existing move that clears the bar. Before Spiriocast there was no market for high-resolution remote masterclasses, not a contested one but none at all, because the thing was not possible. Steinway did not take that demand from a competitor; it served a non-consumption that had nowhere else to go. That is the textbook shape of a blue ocean: an offer to people the category could not previously serve.

But the largest blue ocean is the one Steinway has not yet entered, and naming it honestly matters more than flattering the moves it has made. Live classical attendance is eroding (the Boston Symphony has lost about 40% of its audience over two decades) while classical streaming grows, with 18-to-25-year-olds making up roughly a third of classical streamers globally.[14] Read those two facts together and the threat resolves into an opportunity: attention is migrating from the concert hall, where Steinway is overwhelmingly present, to the playlist, where it is essentially absent. The uncontested market is a generation listening to classical music through earbuds who have never been told which instrument they are hearing. Steinway owns 340 hours of exclusive Artist recordings and the most recognizable sound in the category. The blue ocean is to put that sound where the listening actually happens, and so far the company has left it on the showroom floor.

Then the honest question: did anyone at Steinway actually think in these terms? I doubt it. Spirio reads like a luxury feature that a pandemic turned into a category, not like a non-customer analysis that anticipated one; the remote-teaching win was emergent, not designed. This is the recurring hazard of strategy writing: it is easy to narrate a clean plan after the fact and mistake a lucky position for a deliberate one. The discipline is to separate what Steinway built (a digital feature that deepens the analog) from what it intended (probably just a very good player piano). The first is real and repeatable; the second is a story we tell because it is tidier than the truth.

5 The Threat That Actually Matters

STEINWAY faces the usual catalogue of pressures: the 2024 collapse of the Chinese grand-piano market, tariff exposure, the long-run sustainability of tropical hardwoods, apartments too small for grands. Most are real and slow, and none of them tells you what the company should do next. Two threats deserve more attention, because they attack named assets on the balance sheet.

[14] Audience figures per orchestra reporting and classical-streaming industry data cited in the source materials.

The first is that digital realism is narrowing the perceptual gap. Physical-modelling software like Modartt's Pianoteq now reproduces the sound of specific pianos, Steinways included, and the distance between acoustic and digital is closing for everyone below the concert-artist tier. The revealing detail is a choice: Yamaha reportedly refused to let Pianoteq model its instruments, treating the category as a threat to its own digital line, while Steinway allowed it.[15] I read that as confidence, not carelessness. A brand whose value is the physical original loses little when software imitates its sound for a listener who was never going to buy a grand. Yamaha, which sells the digital pianos, has something to protect that Steinway does not.

The second threat is the streaming shift from the previous section, seen from the defensive side. Steinway's deepest moat, built on institutional embedding, the concert hall and the artist roster, is anchored to a venue that is slowly emptying. As attention moves to the playlist, the moat does not break, but it stops compounding, because the next generation forms its musical loyalties somewhere Steinway has chosen not to be. Threat and opportunity here are the same fact viewed from two sides, which is precisely why it belongs at the center of what the company does next.

6 What to Build, What to Refuse

A strategy is defined less by what it pursues than by what it declines, and Steinway's situation resolves into two rules strict enough to throw most "growth opportunities" overboard.

First: Digital must deepen the analog moat, never substitute for it. Spirio proves it, since every recording plays back on a physical Steinway and makes owning one worth more.

Second: Heritage extends only through environments and partners Steinway fully controls. Boston works because Steinway sets the specifications and inspects the result; anything that loosens that grip trades scarcity for reach, the wrong trade for this company.

Run the moves through those rules and a short list survives. The most important is the one the Blue Ocean section pointed to: put the Steinway sound where the listening now happens. Curated Spirio recordings on Apple Music Classical, Spotify and IDAGIO would reach the streaming generation, surface the Artist roster, and cost the moat nothing, because the high-resolution playback, the part that requires owning a piano, stays exclusive to Spirio owners. Built outward, the same logic becomes a Spiriocast concert network: live performances from partner halls broadcast in real time onto

[15] Opus Science Collective, "The Piano Compromise Part 2: Pianoteq," 2024.

owners' own instruments, turning the emptying concert hall into a feature rather than a casualty. The brand can also keep extending into environments where heritage is already priced, such as ultra-luxury residences and hospitality, or the 111 West 57th Steinway Tower model repeated, where buyers pay a premium precisely for the name on the door.

The refusals matter more, because they are where most heritage brands die. A standalone "digital Steinway," an instrument with no acoustic original behind it, would compete with the apex instead of deepening it, and would tell the market the craft was negotiable. Steinway-branded consumer audio outside the controlled Lyngdorf line carries no heritage and real reputational risk; the Gibson home-entertainment expansion that helped push it into 2018 bankruptcy is the cautionary tale from the same industry.[16] And a Steinway-owned streaming platform would pit the company against Apple and Spotify at the one thing they do better than anyone; the move is to ride those platforms, not build against them.

Which returns the essay to its first claim. Steinway's heritage is neither a constraint nor a refuge; it is a resource that grows when extended carefully and erodes when extended carelessly. The threats of the coming decade are real, but they land on specific assets whose combined depth is hard to dislodge. The single genuine danger is not that someone builds a better piano, but that the audience quietly relocates to a place the brand declined to follow. The strategic question is not whether the heritage is sustainable. It is whether a company that has spent 170 years saying no to the wrong revenue has the nerve, this once, to say yes to the streaming playlist, before the next generation finishes forming its loyalties without it.

[16] *Forbes*, "Inside The Gibson Guitar Comeback Story," February 2019.